

Public Debt: Problems and Solutions

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Introduction

The concept of debt is deeply ingrained in modern society. Most people encounter debt in some shape almost everyday: mortgages and student loans, but also informal lending are ubiquitous in our everyday lives. Then there are the more abstract forms of debt, which we are all -to some extent- familiar with: 'national' or 'public' debt; bonds, stocks, and derivatives that are traded on financial markets. Finally, there is debt as a cultural or moral concept, a construct that to some extent shapes our view of the world. But what exactly is debt? Why is it seemingly so important in the functioning of our economies and communities? And how do abstract forms of debt relate to simple, 'intuitive' debt? It is important to examine these and other questions in order to shed a light on the complex social relations that make up our world. In this paper, the analytical focus will lie on public debt and its legitimacy, an issue which has been brought up especially concerning Third World debt, but in recent years also public debt of developed countries (Keucheyan 2014; IMF 2018). Before zooming in on specific cases concerning public debt, however, we must explore debt as a concept.

The fact that debt, at least in Western societies, is much more than a strictly economic arrangement - whatever that may mean- is exemplified by the Dutch word for debt: '*schuld*'. Besides referring to monetary or material obligations, this word also means *guilt*. As such, in common Dutch there is no linguistic difference between having to repay a loan and having to serve a prison sentence for a crime: in both cases, you are '*schuldig*'. In his book *Debt: the First 5000 Years* (2011), David Graeber explores debt, not just as an economic concept, but as a historical and moral one. In doing so, he argues that the linguistic confusion between debt and guilt is analogue to the way debt is generally perceived, and as such, it has a certain moral power. The fact that most people consider it to be self-evident that debts ought to be repaid, no matter the conditions of how that debt came to be in the first place, ensures that morally questionable behaviour can be justified through the framework of debt. As Graeber writes: 'If history shows us anything, it is that there's no better way to justify relations founded on violence, to make such relations seem moral, than by reframing them in the language of debt- above all, because it immediately makes it seem that it's the victim who is doing something wrong' (Graeber 2011: 5).

As stated above, this paper will focus on public debt and its legitimacy. The legitimacy of public debt has become increasingly relevant in the wake of the European Sovereign Debt Crisis. Public debt

refers to the obligations *governments* hold to pay creditors at some point later in time, usually in the form of securities (Encyclopaedia Britannica 2018). An obvious problem with government debt, as opposed to private debt, is the fact that it is difficult to enforce because governments are protected by the sovereign immunity of their country (ibid.: 1). This means that governments in principle can make creditors change the terms of their debt by merely threatening to default¹ (ibid.: 10). Nonetheless, excessive government debt is considered undesirable because of the austerity and/or taxation measures necessary to finance this debt (The Economist 2015). The fact that government debts culminate in policies that directly affect ordinary people gives rise to questions about the legitimacy of public debt in cases where the public itself has had nothing to do with the initial lending, but does bear the consequences of its repayment. This seems rather undemocratic, and a reevaluation of the way we perceive of public debt seems in order. As shown in the following, public debt auditing -the process of examining the quality of public debt- is an alternative and perhaps more just way of handling public debt. Concrete measures will be examined through the successful example of Norway's public debt auditing, a critical evaluation of the measure of GDP, and the role of International Financial Institutions.

The Legitimacy of Public Debt

The central concept in examining the quality or justifiability of public debt is its *legitimacy*. The Committee for the Abolition of Illegitimate Debt actually defines *illegitimate debt* as an umbrella term for three kinds of undesirable public debt: illegal, unsustainable, and 'odious' debt. Illegal debt is rather self-explanatory, in that it entails debt that came to be under illegal circumstances. Unsustainable debt exists when governments cannot pay back their debts without 'seriously impairing the ability or capacity of the Government of the borrower State to fulfil its basic human rights obligations'. Lastly, odious debt is perhaps the most ambiguous category to point out in real-world cases, as it entails debt that the creditor knowingly issues despite 'violation of democratic principles', being used 'against the best interest of the population', or being 'unconscionable'. For the sake of simplicity, this paper will stick with the term *illegitimate debt* to refer to occurrences of all three kinds of undesirable public debt.

¹ Of course, this is far from an optimal strategy because of the damage it would do to credibility, international relations or even security.

Literature Review on the Norwegian Debt Audit

When considering public debt auditing, one successful example and the very first of its kind is that of Norway cancelling all debt owed to it by multiple developing countries in 2006, the most prominent country being Ecuador (Haarberg, 2013). The public debt was originally taken on by developing countries as an alternative form of revenue, instead of raising taxes or creating extra currency for example, however saddling developing countries with excessive and illegitimate debt can often lead to fatal sovereign debt crises which can span the globe and create a domino knock-on effect, plunging other countries into recessions (Biron, 2013). The debt in Ecuador's case originated due to the fact that Norway was desperate to boost its shipbuilding sector in the Norwegian Ship Export Campaign of 1976-1980 at the time the loans were made, and thus offered Ecuador a loan in order to pay for its exported fishing ships (Toussaint, 2017). The debt in Ecuador's case was found to be illegitimate upon assessment by the Norwegian Guarantee Institute for Export Credits (GIEK) after Ecuador had declared their debt to be odious and illegitimate (Haarberg, 2013). The issue with the newfound odious debt was that the loan was meant to help the Norwegian shipbuilding industry, not benefit the Ecuadorian people. As a result, not even the best Norwegian shipbuilders, but instead mediocre and struggling Norwegian shipyards were given the contract and fishing ships of a lower quality were subsequently manufactured - evidence that the loan was made on unfair terms and favored Norway over Ecuador (Toussaint, 2017). Once the ships were later on sold, very little of the proceeds went towards repaying the debt and it became apparent that the Ecuadorian people benefited little from the fishing ships (Missions to Norway and Ecuador, 2010).

The problem with such loans is that if the debt cannot be inflated away, developing countries are left with virtually never ending debt, as any money they repay every year would simply cover the interest payments and not the principal loan itself (Biron, 2013). Ecuador, for example, has found itself having to pay 38% of the government's revenues to external creditors, a vast sum which does not leave much money left over for infrastructure, education and healthcare needs. (Calling in Ecuador's debt, 2007). Over the course of a few decades the interest payments alone can amount to multiple times the principal debt, creating undue obligations and unfair pressure on developing countries to repay loans often made illegitimately. When looking at the UN and their policy on public debt audits, what the United Nations Conference on Trade and Development (UNCTAD) wishes to achieve is by no means eliminating all debt of developing countries, but rather the debt which was been lent illegitimately, and to ensure that future debt is more transparent and made on more favourable terms (Haarberg, 2015). This issue is highlighted by the fact that although the developing world sends roughly \$140 billion to developing countries in the form of aid every year, the developing world pays over \$460 billion to its creditors, demonstrating that decade old loans were often made during times when social, political and economic factors were uncertain and unfavourable loans were

allowed (Biron, 2013). Today many of these illegitimate loans are contributing directly to poverty, as interest payments in the millions flow to first world creditors while the local population suffers from a lack of adequate government spending, and while the foreign debt of many developing countries continues to rise over the years, often their GDP is only marginally increasing, further compounding the issue.

To look at public debt and the subsequent auditing thereof within the framework of biophysical economics and system dynamics, the issue arises with the introduction of debt in the form of a creditor nation lending money to a debtor nation at a set interest rate and with a future date set at which the principal loan will be due (Van Egmond, 2018). Every year the debtor nation is to pay an exact percentage of the loan, determined by the interest rate set, back to the creditor nation, until the loan has been repaid in its entirety. The principal loan should in theory become easier to pay back as the years pass, due to inflation devaluing the currency a bit every year, and this is a prime example of the biophysical dynamics of the public debt system when it works just as it should. The problem arises when developing countries struggle to even repay the interest payments and low inflation rates fail to inflate the principal debt away over time, resulting in the debtor nations being buried under a mountain of never ending debt (Haarberg, 2015). This was especially the case with Ecuador as the fishing ships it purchased with Norway's loan were not used to provide sufficient services, such as fishing, but rather used for transportation purposes, which did not generate enough revenue in order to pay off the loans (Toussaint, 2017). With such a debt cycle as this one (seen in figure 1 below) spinning out of control, one option would then be to audit the debt, with the aim of reducing it or eliminating it entirely, should it be discovered that its terms were illegal or made in times of duress. In this case the cycle of spiralling debt would be cut short and eliminated by cancelling the debt in order to help the debtor nation back onto its feet and allow it to put what scarce resources it has to more productive uses, such as developing the country instead of financing the already wealthy global north.



Figure 1

The trail Norway has righteously blazed in this case is a prime example of what creditor nations can do to audit and cancel their illegitimate debt held by developing countries. In this case, Norway was made aware of the odious debt by Ecuador through its public declarations and

voluntarily decided to become the first ever creditor nation to perform such a debt audit and eliminate the illegitimate debt (Haarberg, 2015). The reason the Norwegian government performed this debt audit as well as others voluntarily was certainly influenced by the fact that it is a very wealthy nation and can afford to take such measures, however it also wanted to test the application of the UN principles and serve as a role model for more ethical lending and responsibility. It must however be stressed that the amount of debt Norway was owed by 7 countries originating from 34 contracts amounted to approximately €130 million, about 0.047% or 1/2000th of Norway's GDP of €276 billion at the time (Kvangraven, 2012). In light of these statistics, many countries might not be as willing as the Norwegian government to cancel the debts owed to them; debts that may well be a lot higher and possibly relied on more intensely for crucial cash flows. For other countries to follow suit however would mean clearer, more accountable and responsible lending terms without any hidden terms or unfair agreements made in times of duress and desperation. The UNCTAD has endorsed such principles, along with thirteen other countries, however the guidelines remain voluntary so far and are yet to be implemented regularly by lenders or financial institutions (Biron, 2013).

In critically analyzing the theoretical framework of public debt and the auditing thereof, one could perceive that an enormous injustice can be set right, if it is revealed that the terms of the original loan were illegitimately made and not in the interest of the debtor nation. Of course this does not mean that any sort of public debt could just be cancelled out of sheer will, but rather the emphasis lies on the terms made and the benefits that can be derived from it. In the case of Norway and Ecuador, it was found upon analysis by the Norwegian government, that not only were the terms of the original loan unfavorable to the debtor, Ecuador and very favourable to the creditor, Norway, but that the fishing ships were also of low quality and did not end up even being used for fishing (Toussaint, 2017). Already one of the wealthiest nations on earth, Norway had benefited enormously from the loan by jump starting its shipbuilding industry and taking in millions in the form of interest payments, while Ecuador on the other hand had benefited relatively little from the terms of the loan and still had outstanding debt on top of that. With this in mind, public debt auditing makes a lot of sense to execute in this case, as the terms of the loan were unjust, Norway had benefitted more than its share, and cancelling the debt would benefit Ecuador greatly. With this example acting as a framework for how public debt auditing could successfully work, both creditor and debtor nations should equally shoulder the responsibility of not only auditing past debts, but also ensuring that future loans are made on favourable terms to all parties involved.

In a degrowth context, the solution strategies entail first focusing on auditing the public debt of the developing world, as this is where it is the most crucial and where the biggest impacts can be made. Eliminating this illegitimate debt would free these economies from the growth paradigm of capitalism, which forces many countries to pursue growth simply in order to pay off the debts they owe. Without this growth paradigm forced upon these nations, they can invest their money in more forward looking, long term projects instead of chasing growth, taking them one step closer to achieving degrowth

(DALisa, 2015). In a true degrowth world, debts from the global north would also be audited, however this would be a secondary focus as these economies do not grow simply to repay debts, but due to a myriad of other factors. Ultimately changing the system to a more ethical one would result first in low-interest loans and then later on ideally zero interest loans being made on ethical terms and with the purpose of helping instead of benefiting off of the debtor nation. This does pose a difficulty as loans made out of good will are hard to encourage and interest is collected in order to offset the risk that a loan will not be paid back, however in a true degrowth context this would be the aim. Lending as a practice should still continue however, as it is important that debtor nations have adequate access to credit in order to finance crucial projects which they may not be able to pay for all at once completely on their own.

Building on Norway's successful framework, the question remains of how a convincing degrowth solution strategy, in light of certain impacts and uncertainties, can be laid out in the future. Important aspects to consider are how to push for, replicate, and implement successful public debt audits based on the Norway model and eliminate illegitimate public debt, while ensuring that future loans are ethical, low or zero interest and made on favorable terms. Many creditor nations would of course like to see the current system upheld and have all of their debts repaid, yet it is crucial that nations take on a more ethical perspective as Norway has done and engage in open dialogue, honestly assessing which debts are illegitimate and thus shouldering the responsibility of ethical lending together (Chasaide, 2012). With this strategy, successful public debt audits around the world are truly within reach and could kick-start an era of more ethical behavior practices in lending.

Public debt auditing case study ‘Greece and trade deficits’

Basic macroeconomics teaches us that:

$$Y = C + I + O + (X - M)$$

In which ‘Y’ is for GDP, the ‘C’ is standing for consumption, all the spending on consumer goods and services inside a country. The ‘I’ is standing for investment by companies, this is measured separately. ‘O’ in this model is government spending, when the other factors are decreasing government spending can keep ‘Y’ steady. ‘X and M’ are the main factors for the introduction of this model, standing for export and import. If a country is selling more than buying from other countries it is called a trade-surplus and if they buy more than they sell it called a trade-deficit.

A country benefits directly from a higher trade-balance because this adds to the national income. Before the introduction of the euro countries could manipulate their own trade balances. This is done by currency depreciation, printing more money on purpose to devalue your own currency, this is making products or services cheaper for outside investors or buyers. In the 10 years before Greece installed the euro they devalued the ‘Drachma’ with 25% compared to the dollar, this kept Greece relatively cheap for tourism and export with foreign players. (Wellens, 2017)

But this mechanism was put on hold on 06-09-2000, this is the day that Greece introduced the euro as national currency. Hereby the central bank of Greece lost their sovereignty over their monetary policy to the European central bank.

This is an introduction to the topic addressed in this paragraph, trade deficits and the inequality connected to this practice. President Trump has noticed this phenomenon and is trying to decrease the trade-deficit of the United States by implementing several policies. (Walker, 2018)

The case of Greece, the euro-crisis and the following Greek government-debt crisis is an example of how inequalities within a union, in terms of trade bases, can benefit the core countries and hurt the weaker countries like Greece or Spain.

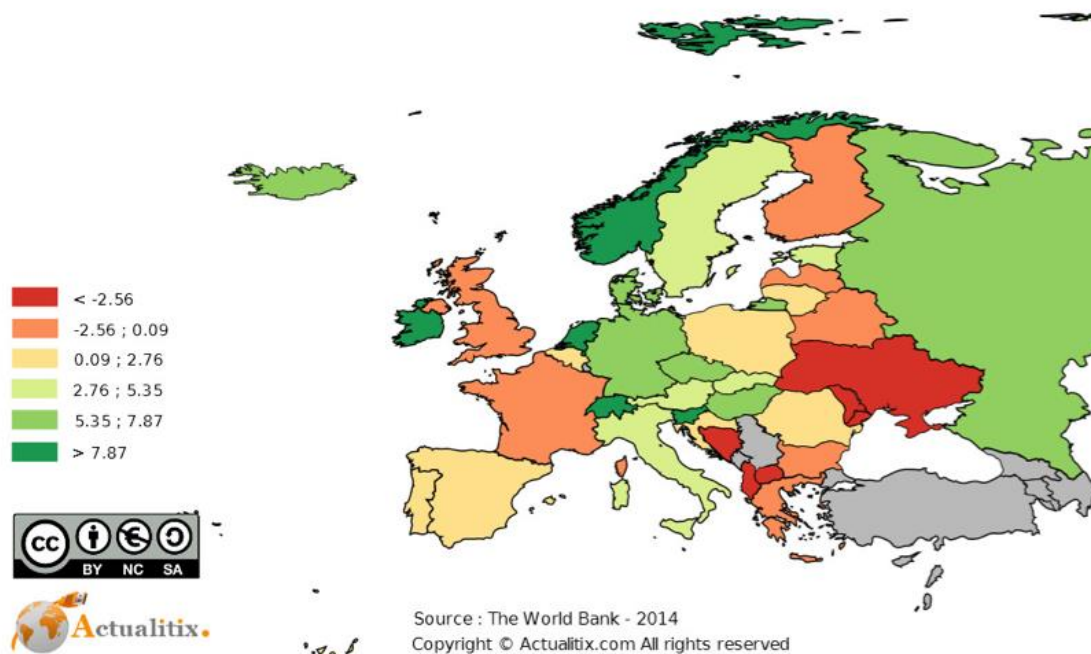
Greece economy or trade opportunities has a ‘weak base’ consisting partly of minerals and metals and mostly of vegetables, fruit, nuts, fish and dairy etc. (Workman, Greece’s Top 10 Exports , 2018) The ‘base’ of Germany consist of vehicles, machinery, pharmaceuticals, medical equipment, aircraft or spacecraft machinery, metals and oil. (Workman, Germany’s Top 10 Exports, 2018).

The comparison of these two countries make a fundamental flaw visible of Greece's economy, Greece produces 'cheaper' products than Germany and this endanger the trade balance of Greece. This phenomena is typical for all of the global south, who got in debt for similar reasons.

In the years before the beginning of the European debt crisis, started at the end of 2009, the impact of weak trade base of Greece compared to trading partners is visible in certain statics.

For example, the net trade in goods and services of Greece was in 2008 according to the World Bank - \$39.5 billion (World Bank Group, 2008).

The situation in the years before the crisis do explain this deficit, Greek consumers did buy (a lot of) products on credit, this is so called 'private debt' but this accumulation was reason for The European Union to give out sovereign debt later on. For example, German-made cars this did directly benefited the German economy/ trade balance significantly. To quantify this significance, the net trade in goods and services of Germany was in 2008 + \$226.6 billion according to the same database of the World Bank. The connection between (European) trade balances is confirmed in an article of the European Commission stating that two thirds of the overall trade of EU member states is between member states. (European Commission, 2018 (updated))



Balance of trade (% of GDP) (Actualitix, 2016)

The map above, with the knowledge of 2/3 internal trade in the EU, almost looks like an example of a zero-sum game. Which, according to the Cambridge Dictionary, means *“a situation in which an advantage that is won by one of two sides is lost by the other”*.

The bankruptcy of Lehman Brothers on 15 September 2008 has been labeled as the beginning of the global financial crisis or metaphorically the first fallen domino. Subprime lending had spiraled out of control and the consequences even reached Europe because European banks, like Deutsche Bank, had these loans in their investments portfolio's. Banks needed to be bailed out and countries were suffering the consequences of the financial malaise. The Greek economy was especially hard hit during the crisis due to the fact that their main industries shipping and tourism are sensitive to changes in the business cycle. The Greece government started to intensify the government spending into the economy to keep it functioning, in terms of the model the government tried to keep 'Y' steady with an increase of 'I'. Increasing government spending is an expensive practice and therefore the result was that the country's debt increased accordingly.

On 23 April of 2010 the Greek government requested a €45 billion loan from the European Union and the International Monetary Fund. Reason for this request was that Greece was unable to lend money from financial markets, investors would not buy government bonds anymore due to lost trust in the country. After the request Greek government bonds were rated BB+ or junk bonds by Standards & Poor's rating agency. (Ziotis, 2010)

On 2 May 2010, to avoid default, the IMF and EU agreed to provide €110 billion in loans to Greece. Germany provide €22 billion of the EU's total €80 billion portion, an interesting question to raise is 'Did Germany took the blame of defaulting Greece by accounting for this large portion of the loan to repay the debt (27,5%) ?' In exchange prime-minister Papandreou commits to austerity policy including a cut of €30 billion spending and tax increases. This is familiar with loans from the IMF and other parties, cutting on long-term investment and by implying more focus on short-term investments. (Council on Foreign Relations, 2018 (updated))

This can be seen as the start of the accumulation of Greece's public debt.

On 21 February of 2012 the EU agreed to a new Greek bailout of €130 billion, this included a 53,5% debt write down for private Greek bondholders. Greece in exchange needed to reduce its debt-to-GDP ratio from 160% to 120,5% by 2020. (Council on Foreign Relations, 2018 (updated))

Mario Draghi, director at the European Central Bank, famous vowed on 6 September 2012 *"to do whatever it takes to preserve the euro"* simultaneous the ECB unveils unlimited bond-buying plan. (Council on Foreign Relations, 2018 (updated))

On 27 November 2017 the Eurozone revises the Greek bailout including lower interest rates on Greek bailout loans and debt-buyback programs. The debt-to-GDP ratio needed to be 124% by 2020 instead

of 120,5%. Implying a lower interest rate could be a signal that Greece may not be able to repay the debt and (continuously) lowering interest rates would lead eventually to amortization of the debt. (Council on Foreign Relations, 2018 (updated))

On 22 January 2015 ECB announced Quantitative Easing, it simply put 'printing' €1.100 billion to buy bonds from banks and governments to put liquidity into the financial market to thrive inflation and consumer spending. Greek bonds are not eligible for the program are due to regulations in the treaty regarding QE. In this article there will not be further discussion about the QE-program, this topic could fill a whole article by itself.

In August 2015 the third bailout was approved. In exchange for the €86 billion bailout Greece need to implement tax reforms, cut public spending, privatize state assets, reform labor laws and other measures. Selling state assets for discounted prices to repay government debt is actually a common practice, over the last decades this phenomena was called 'The Third World Debt Trap'. This furtherly implies that there needs to be drastic cuts on education and long run investments. (Council on Foreign Relations, 2018 (updated))

Recently, on 20 Augustus 2018, Greece emerges from Eurozone bailout program and receives their final loan from European creditors. At that moment Greece owes the EU and IMF roughly €290 billion, this is 180% of GDP. Unemployment has fallen to 20% but this remains the EU's highest. *"The IMF, however, maintains that the Greek economy, which has shrunk 25 percent since the beginning of the crisis, will likely to require further debt relief"*. (Council on Foreign Relations, 2018 (updated))

In last eight years the public debt of Greece has risen with €290 billion, this is an increase of debt-to-GDP which is unique and lists Greece second on the countries with the highest debt-to-GDP after Japan. (Trading Economics, 2017)

With the knowledge of trade balances, the role of GDP, and the role of the Germany and likewise the Netherlands in the debt-position of Greece before the crisis; questions are risen what the responsibility is of these two countries in almost bankrupting Greece. For years these countries have flourished on the trade-surplus flowing from South-Europe to the North. Currently, measures have been installed making the payback period longer and lowering the interest rates. In finance this practice would be amortization of your outstanding debt. The amortization of the debt resulted in a split of two groups: one group stating that Greece will never be able to pay back their debt and amortization is inevitable vs. a group stating that amortization is immoral due to the fact that Greece will not learn from their mistakes if it is written-off.

What can be concluded from the Greek case study? There is an contradictory link between growth, in terms of GDP, on the one hand of countries and the well-being of a nation. The topic of trade balances and public debt auditing might look, for some, like two separate topics but just as illustrated in the Greece case there is a connection between the weaker trade countries (the South) and the amount of public debt a country bears. This becomes especially visible when looking into topics of ‘The Third World Debt Trap’.

To start the analysis Simon Kuznets, the economist who developed the first comprehensive set of measures of national income, is quoted from his first report to the US Congress in 1934 in his section titled “Uses and Abuses of National Income Measurements”.

“The valuable capacity of the human mind to simplify a complex situation in a compact characterization becomes dangerous when not controlled in terms of definitely stated criteria. With quantitative measurements especially, the definiteness of the result suggests, often misleadingly, a precision and simplicity in the outlines of the object measured. Measurements of national income are subject to this type of illusion and resulting abuse, especially since they deal with matters that are the center of conflict of opposing social groups where the effectiveness of an argument is often contingent upon oversimplification. [...]

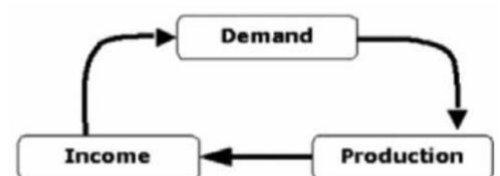
All these qualifications upon estimates of national income as an index of productivity are just as important when income measurements are interpreted from the point of view of economic welfare. But in the latter case additional difficulties will be suggested to anyone who wants to penetrate below the surface of total figures and market values. Economic welfare cannot be adequately measured unless the personal distribution of income is known. And no income measurement undertakes to estimate the reverse side of income, that is, the intensity and unpleasantness of effort going into the earning of income. The welfare of a nation can, therefore, scarcely be inferred from a measurement of national income as defined above.

Distinctions must be kept in mind between quantity and quality of growth, between costs and returns, and between the short and long run. Goals for more growth should specify more growth of what and for what” (Kuznets, 1934).

Kuznets, one of the patriarch of GDP, is sceptical of his own idea and that is for a good reason. GDP is just, often a misleadingly, (over)simple, illusionary, abused, conflicting measure and should be used with care.

To elaborate, if looked to the dynamics of GDP the following process describes the essence of GDP and its creation of so called wealth. There is demand, due to this demand production is increasing (basic market equilibrium theory) and therefore income (GDP) is increasing.

Figure 1 GDP as the crossing point of three sides of the economy



Source: Schepelmann et al. (2010: 14)

Furthermore, if a SWOT-analysis is conducted on GDP the outcomes are: (Ivković, 2016).

Table 1 SWOT analyses of the GDP as a measure of progress

Strengths	Weaknesses
• simple and universal • used in economic policy for a long period of time • comparable in terms of time • comparable in terms of scope • positively correlates with some alternative measures	• already recognized by the SNA (e.g. the impact of externalities, external events, non-economic effects etc.) • uncovered items (e.g. the black economy, leisure, human freedom etc.) • questionable covered items (e.g. depreciation, income for foreigners etc.) • methodological problems of calculations (e.g. the invisible structure, distribution of income, health conditions, etc.)
Opportunities	Threats
• indicators adjusting the GDP • Satellite Accounts SNA • favour of the relevant institutions	• the growing costs of economic growth • new measures that include sustainability

What seems to be the case is that the simplicity of the GDP-measure is overruling all weaknesses and threats of its measurement capacity. If a degrowth society is desirable we need to lose our focus on the ‘Growth Paradigm’ and focus ourselves on true growth and development, therefore the abolishment of GDP is one right measure in the Degrowth direction. For the skeptics in our society who may believe that abolishing GDP is one bridge too far literature gives us some alternatives.

Alternative:	Focus:
Index of Sustainable Economic Welfare (ISEW)	Correction on regular GDP by repairing deficiencies through adding and subtracting certain partially-calculated money amount to/from GDP. Where GDP shows a rising trend, ISEW shows a constant or declining trend.
Sustainable National Income (SNI)	Entirely on environmental externalities and natural resource depletion.
Genuine Saving or/and Investment	Maintaining or increasing wealth, defined as the sum of economic, human and natural capital.
Human Development Index (HDI)	Aggregates a number of indicators: GDP per capita, life expectancy at birth, adult literacy rate, and combined primary, secondary, and tertiary gross enrolment ratio.

Based on findings in (Bergh, 2009).

When applying the GDP knowledge obtained in the Greece case study and the theoretical background on why it may lack to be a one-size fits all measurement tool, the following measures and thoughts were arising. First of all, it is important to recognize that there are inequalities in the world and we need to recognize them and not exploit the weaker countries to trade on unequal terms. For the sake of a degrowth society it needs to be recognized that the trade, in the way it is conducted now, is a zero-sum game with losers in ‘The South’ and winners in ‘The North’. A example of this is subsidies on certain export products, the European Union is providing subsidy to i.e. farmers who export their milk

to Africa. This practice is destroying the local market in Africa. (Livingstone, 2018). On the one hand The EU is, by means of the European Development Fund, giving out loans for *“Tackling poverty, boosting local economies and strengthening governance, the EU supports millions of people in African, Caribbean and Pacific countries The EU provides development assistance to secure the long-term future of developing countries which face the rigours of operating in an ever more complex and fast-paced global economy”* (European Commission, 2018) and on the other hand destroying their internal market. This leaves the question, who is the European Union fooling? Do they fool themselves by believing in policies which do not work, based on empirical evidence, or are they attacking ‘The South’ with a two-sided sword? Secondly, when is ‘The North’ going to realize that the ‘infinite growth paradigm’, which is the base of GDP goals, is a not sustainable solution for the problems faced globally like: soil degradation, acidification of the oceans, the overfishing of the same oceans, climate change, growing inequalities, growing world population, the current financial sector spiralling out of control, peak oil and the overall entropy involved in the use of energy. So implying that ‘The North’ could teach ‘The South’ a lesson how to live life is simply a facade, ‘The North’ cannot even handle their own problems and should therefore not assume that their paradigm is the key to development or simpler put happiness. To conclude, most public debt is connected to the fact that economies should grow their scale, based once again on the infinite growth paradigm which is outdated. Therefore, abolishing GDP or, in a more realistic scenario, restructuring GDP and changing our paradigm on growth would be a great relief for ‘The South’.

International Financial Institutions

Throughout the discussion of various topics in this paper, there has been somewhat of an elephant in the room. When examining the legitimacy of public debt, the International Monetary Fund (IMF) and the World Bank (WB), both major lenders to developing countries and countries in crisis, cannot be left untouched. Although the general legitimacy of credit issued by the IMF is questionable (See for instance Jubileedebt.org 2015), it is beyond the scope of this paper to assess the legitimacy of IMF credit in general. A more specific, and more controversial, issue in this regard is the act of conditional lending through structural adjustment programs (SAP’s). SAP’s usually require governments to implement policies that are aimed at reducing budget deficits and fostering economic growth through amongst others deregulation, ‘restructuring public enterprise’ and removing subsidies (Hossen et al. 2012: 215; Nsouli 1993: 31-33). There are many accounts of detrimental or even disastrous effects caused by these programs. In the very beginning of his book about debt, David Graeber shares an anecdote of a malaria outbreak in Madagascar that killed thousands. He states that the government of Madagascar was forced to cut spending on the mosquito eradication program that prevented such outbreaks in the context of the IMF-imposed SAP (Graeber 2011: 4). Gros states that similar practices caused a sudden unavailability of rice in Haiti which resulted in food riots in 2008 (Gros 2010: 974;

984-985). Of course, it would be simplistic to solely blame SAP's, the IMF, or the World Bank for these disasters without further scrutiny, or to conclude that these conditional lending programs are inherently detrimental to the countries that partake in them. However, the dubious legitimacy of SAP's, the power of the International Financial Institutions and their importance in the global debt structure means that these issues must be considered when envisioning a better way of handling public debt. As their implementation is not approved by the the publics they are imposed upon, and because of the real impact they can have on the daily lives of those very publics, abolishing SAP's as a form of conditional lending would be a first step in creating a more democratic and fair global credit system.

Conclusion

The problems with public debt as described in the above paper are very clear. As is usually the case, however, effective solutions are not. Obviously, an ideal situation would see the abolition of illegitimate debt of all kinds, a fairer global credit system and International Financial Institutions that answer to the needs of the people they affect. On top of all this, debt itself would have to be fundamentally reimagined because compound interest helps fuel unlimited economic growth that is destroying the very planet we live on. Unfortunately, simply imagining this situation is not enough, and the issues that are created and sustained by illegitimate public debt require concrete action to be undertaken. The case of public debt auditing in Norway is a very promising example for others to follow: the outstanding debt was examined, found to be illegitimate, and subsequently cancelled, simple as that. By doing so, the government of Norway has set a precedent for how developed countries *can* act from ethical considerations and a genuine desire to help the global south develop. The case of Norway is not without caveats, however, considering it's privileged position as one of the wealthiest countries on earth and the almost negligible relative size of its outstanding credit with Ecuador. Arriving at a midway between utopian dreaming and small impact trailblazing, the most effective thing we can do to stop both unlimited growth and problematic public indebtedness might be to change our main 'measure of success' for national economies. As explained in the paragraph above, the prevalence of Gross Domestic Product as a primary indicator for measuring economic activity has as one of its flaws the fact that it sustains an economic system and policy paradigm where economic growth is the main goal. It is in the name of growth that countries are forced to take on unsustainable amounts of debt, and it is in the name of growth that the IMF can force developing countries to cut public spending.

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